gold price zoomed from $867 per troy oz (₹12,890 per 10 grams) in 2008–09 to $1654 per troy oz (₹30,164 per 10 grams) in 2012–13, making investment in gold look like a one-way bet.

The need for imposing restrictions on gold import to help reduce the CAD was obvious. The direct, blunt, and possibly the most effective in the short-term, way of doing this was to raise the customs duty on gold so as to raise the import cost of gold. This, however, entailed big risks. As part of the reform process in the 1990s, India had liberalized the import of gold, which put an end to smuggling and to the crime and mafia activity that came with it. Raising customs duty would mean undoing those gains and the need for treading cautiously was clear.

Between May and August 2013, the government raised the customs duty on gold imports from 6 per cent to 10 per cent, clearly wary of crossing the tipping point beyond which smuggling would become an attractive option. From the Reserve Bank side, we imposed restrictions on the import of gold as well as on its use as a collateral for loans. We banned the import of gold coins and medallions, prohibited non-banking financial companies from lending against the security of gold in any form, restrained loans against gold by banks, and restricted import of gold on consignment basis by both banks and other agencies.

One constant vexation in the middle of this rupee turmoil was that many large corporates had not hedged their foreign exchange exposures and had set themselves up for huge losses as the rupee rapidly lost value. Notwithstanding past experiences where several of them had lost heavily because of unhedged exposures, they still calculated that the costs of hedging outweighed the benefits. This is clearly a miscalculation as one ‘black swan’ episode can wipe out all the past gains. Our investigations revealed that banks too were quite negligent about educating their corporate borrowers on the prudence of hedging their forex exposures.

We were concerned about this nonchalance—bordering on indifference—as corporate defaults on external borrowing can complicate what is already a complex problem. For a long time, the Reserve Bank had been cautioning banks on the importance of encouraging their corporate borrowers to hedge